

GLOSSARY

THIS GLOSSARY PROVIDES A STARTING point for better understanding the terms used in this book. I suggest doing Internet searches for more detailed information, as well as consulting the books on the Recommended Reading list.

Absolute momentum The tendency for an asset to persist in its performance based on its own price history.

Active investment management Portfolio strategy where a manager makes continuing investment choices with the goal of outperforming an investment benchmark.

Adjustment effect See *Anchoring*.

Alpha Measure of performance on a risk-adjusted basis; excess return relative to the excess return of a benchmark.

Anchoring Relying too heavily on one piece of information and only partially updating one's views when faced with new information; slowness in accepting the full impact of information retards the price adjustment mechanism and leads to price continuation.

Animal spirits Behavior that is motivated by emotive factors rather than by economic rationality.